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Canada Economics and G10 FX Strategy | North America

Section 338 Tariffs and Canada: Limited Macro Effect, Rising Strategic Risks

The direct hit of the Section 338 tariffs is manageable, but escalating trade frictions raise downside risks to growth, investment and hiring. USD/CAD may rise should sentiment deteriorate on the back of 338s, but we think this should be faded as key export areas remain largely unaffected by 338s.

Key Takeaways

- Canada's macro hit appears manageable; sector impacts are more meaningful. ~ \$20bn of exports will be targeted, and also raises tariffs on USMCA covered goods.
- Canada's exposure is concentrated in key industries. Consumer and intermediate goods are most affected.
- The BoC outlook is more exposed to escalation. We continue to see a policy rate hold, but tariff implementation would raise risks of weaker growth.
- The main tail risk is a two-tier USMCA: the agreement could survive formally while effective market access becomes increasingly bilateral and discretionary.
- USD/CAD may rise should sentiment deteriorate on the back of 338s, but we think this should be faded as key export areas remain largely unaffected by 338s.

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Executive Summary

The immediate macroeconomic impact of the new Section 338 tariffs appears contained, but the strategic implications are more consequential. The proclamations identify a little over US\$20 billion of Canadian trade, but effective coverage falls to approximately US\$18 billion after accounting for goods already subject to Section 232. Qualifying civil-aircraft goods are also excluded, although the effective treatment of some mixed-use tariff lines is difficult to estimate precisely. We estimate the 50% additional tariffs could lift the effective tariff rate on Canadian goods by roughly 2 percentage points, to around 5-6%, while raising the overall U.S. tariff rate by only 0.2 percentage point. Crucially, USMCA-compliant goods are not exempt, cutting through protections that had insulated much of Canadian trade from earlier actions.

Exposure is concentrated in intermediate and consumer goods, including plastics and packaging, wood and paper products, furniture, machinery, food and selected electrical equipment. On our gross product mapping, consumer goods account for around US\$7 billion, equivalent to more than 10% of Canadian consumer-goods exports to the United States, although actual duty-bearing exposure is somewhat lower after product-level exclusions. Canada is also difficult to replace in several affected categories because of its high share of U.S. imports and the bulky, perishable or supply-chain-specific nature of many products. Near-term costs are therefore likely to be shared between lower margins for Canadian exporters and higher prices for U.S. purchasers.

For the Bank of Canada, the main risk is that weaker exports interrupt the expected recovery in investment and hiring. The Bank's July outlook lowered 2026 growth to 0.7% but projected 1.8% growth in both 2027 and 2028, increasingly supported by exports. The tariffs are unlikely to overturn that forecast alone, but they weaken its underlying assumptions. Manufacturing sectors with greater tariff exposure have already experienced weaker employment outcomes, while the broader labor-market adjustment continues through subdued hiring rather than widespread layoffs. Our base case remains for the BoC to hold at 2.25% through year-end, although implementation would increase downside growth risks.

For CAD, we think the announcement is negative from a headlines perspective, but not a game-changer. Any initial rise in USD/CAD is likely to reflect weaker sentiment, a higher Canada-specific risk premium, and greater expectations of BoC easing rather than a major deterioration in Canada's external balance. With energy and other strategically important commodity exports largely unaffected, we think the trade channels most relevant for CAD remain intact. We would therefore fade tariff-driven USD/CAD strength unless the dispute broadens or begins to cause a sustained weakening in investment and growth.

The 30-day implementation window leaves scope for negotiation. Section 338 is an untested authority, and questions remain around the finding of discrimination, the ITC's role and its interaction with USMCA. The President nevertheless has broad discretion to suspend, amend or revoke the tariffs, making product-level concessions and exemptions plausible.

The central tail risk is a bifurcated USMCA. The agreement could survive formally while effective market access becomes increasingly bilateral and discretionary. Section

338 is manageable as an isolated dispute; as a precedent for making USMCA access conditional on bilateral political bargaining, it poses a much greater risk to Canada's export recovery and manufacturing position.

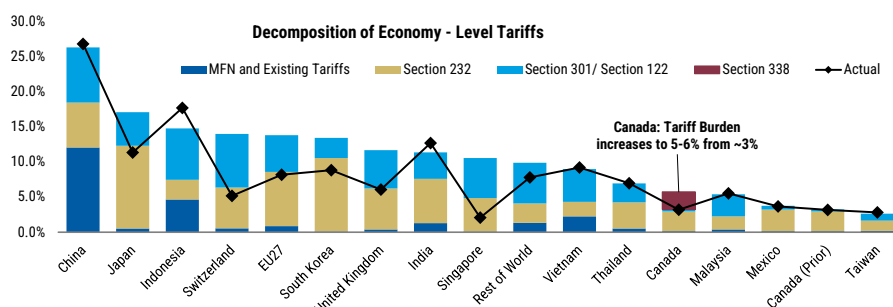
Economics: Section 338 tariffs are manageable, for now

Arunima Sinha and Mayank Phadke

The immediate macroeconomic hit from the new Section 338 tariffs appears contained, but the strategic implications are more consequential. The measures cover roughly US\$20 billion of Canadian exports to the United States, around 6% of total U.S. imports from Canada. We estimate that the additional tariffs could raise the trade-weighted tariff rate on Canadian goods by roughly 2 percentage points, to around 5–6%, while nudging the overall U.S. tariff rate up by only about 0.2 percentage point. Crucially, unlike previous actions, Section 338 does not exempt USMCA-compliant goods, cutting through protections that had insulated much of Canadian trade from earlier measures. If implemented, the tariffs could also weigh materially on the Bank of Canada's growth outlook, particularly as its projected recovery has become increasingly dependent on exports, investment and hiring.

Although the proclamations identify a little over US\$20 billion of Canadian trade, effective coverage falls to approximately US\$18 billion after accounting for goods already subject to Section 232. Qualifying civil-aircraft goods are also excluded, although the effective treatment of some mixed-use tariff lines is difficult to estimate precisely.

Exhibit 1: The headline impact of newly announced tariff actions is modest, but continues the trend of worsening tariff differentials



Source: USITC, USTR, Morgan Stanley Research

Section 338 breaks through the USMCA protection

Beginning August 19, 2026, the United States will impose an additional 50% tariff on specified Canadian goods in response to alleged discrimination involving U.S. motor vehicles, alcoholic beverages and dairy products.

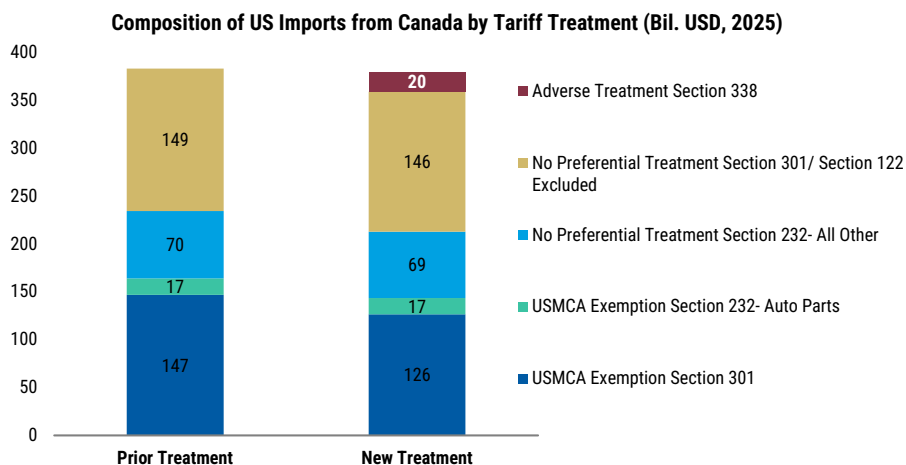
The measure is notable not simply for its size, but for the authority being used. Unlike the Section 122 tariffs and the proposed forced-labor Section 301 regime, Section 338 does not exempt a listed product because it complies with USMCA rules. USMCA compliance may affect the product's ordinary tariff rate, but it does not remove the additional Section 338 duty. This raises the share of Canadian goods that receive no tariff advantage relative to global peers.

Goods already subject to Section 232 are, however, excluded from Section 338 altogether; this is why certain electrical-control panels listed in the annex do not ultimately face the

additional duty.

That makes the measure a more direct erosion of Canada's preferential access to the U.S. market. Many of the listed goods currently face Section 122-based tariffs and, once those tariffs expire, would otherwise likely have moved into the proposed forced-labor Section 301 framework. Both regimes contemplate protections for USMCA-compliant products. Section 338 cuts across that insulation for goods that remain in scope.

Exhibit 2: Canada sees no tariff advantages for the majority of its US exports



Source: USITC, USTR, Morgan Stanley Research

The retaliatory basket is significantly broader than the products involved in the underlying disputes. It includes electrical equipment, machinery, plastics and packaging, furniture, wood and paper products, food, alcohol and other consumer goods. Important exclusions include energy, potash, selected critical minerals, fish and products already subject to Section 232 restrictions. Section 338 duties do not stack with Section 232 duties on the same article.

The action also follows recent news linked to Canada's handling of cross-border wildfire smoke. Taken together, the measures reinforce the risk that trade policy is becoming more discretionary, bilateral and issue-specific, even within the USMCA framework.

The goods basket under the 338 tariffs extends well beyond the underlying disputes

Three features of the product basket under the Section 338 authority matter for Canada. First, it broadens tariff pressure beyond the autos, metals and heavy industrial sectors targeted in earlier rounds of escalation. Second, much of the affected trade consists of intermediate goods embedded in U.S. production and distribution networks. Third, several of the products may be difficult to replace quickly because Canada has a high share of U.S. imports or because the goods are bulky, perishable or closely integrated into existing supply chains.

On a gross annex basis, electrical and electronic equipment is the largest identifiable grouping. The listed products include electrical-control panels, communications equipment, conductors, printed circuits, radar equipment and related components. However, some of the largest electrical lines—including certain control panels—are excluded from Section 338 because they are already covered by Section 232, while

qualifying civil-aircraft goods are also excluded.

Chemicals, plastics and rubber are also significant, particularly plastic bags, bottles, films, closures, packaging products, polymers, coatings and rubber components. “Plastics and packaging” or “chemicals, plastics and rubber” is a more accurate description of this group than “petrochemicals,” since it also includes specialty chemicals, paints, cosmetics and other downstream products.

Wood, paper and packaging form another major cluster, including veneer, MDF, plywood, coated and uncoated paper, corrugated cartons and other packaging materials. Furniture, seating and lighting are materially affected, as are industrial machinery products such as refrigeration equipment, compressors, filtering equipment and packaging machinery.

Alcohol, food preparations, horticultural products, cement, personal-care products and jewelry account for a smaller but commercially visible consumer-facing component.

The composition is important because consumer-goods exports had remained comparatively resilient through the earlier stages of tariff escalation. Broad country-level measures, including the proposed forced-labor Section 301 action, generally contemplated protection for USMCA-compliant Canadian products. Section 338 removes that protection for listed goods that remain in scope. On our gross HS6 mapping, the basket covers more than 10% of Canadian consumer-goods exports to the United States, although actual duty-bearing exposure is somewhat lower after applying product-level exclusions.

Canadian supply will be difficult to replace in several categories

Canada is a dominant U.S. supplier in several affected categories, including certain coniferous veneer, baked-goods mixes, live plants, paper, liqueurs, plastic containers and Portland cement. The most important exposures combine high Canadian market share with meaningful trade values, notably paper and packaging, plastics, food products and selected wood materials. Because many of these goods are bulky, perishable or embedded in established supply chains, near-term substitution may be costly. The tariff burden is therefore likely to be shared through higher U.S. prices, lower Canadian margins and pressure for product-specific exemptions.

Technology is not the center of the current shock

The tariff basket is not primarily an AI-hardware measure, and Canada remains a relatively small supplier in the largest global technology categories. The gross annex includes networking equipment, communications hardware, fibre-optic cables and electrical-control systems linked to digital and data-center infrastructure. However, effective exposure is smaller because certain electrical-control products are excluded under Section 232 and qualifying civil-aircraft goods are also carved out. A broader extension into these categories would place additional pressure on precisely the high-growth areas in which Canada needs to expand its manufacturing participation.

Implications for Economic Activity and the Bank of Canada's Policy Path

The tariffs threaten an increasingly export-led recovery

The timing of the tariff announcement matters because the Bank of Canada's more constructive outlook is increasingly an export story. Although the Bank lowered its 2026 annual GDP growth forecast to 0.7% following a weak first quarter, it raised projected growth to 1.8% in both 2027 and 2028 and became more confident that the economy had entered an expansion.

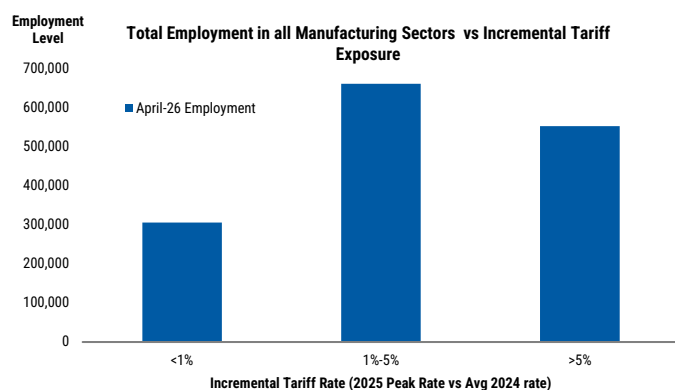
That improvement is not primarily a domestic-demand story. The contribution of exports to 2026 GDP growth was revised to positive 0.5 percentage point, from negative 0.2 percentage point in the Bank's April projection. Stronger exports are expected to support domestic production, encourage business investment and eventually produce firmer hiring.

The Bank sees additional support coming from stronger U.S. investment, particularly AI- and data-center-related capital spending. That investment should increase demand for Canadian raw materials, metals, electrical equipment and other manufactured inputs. The forecast also assumes that USMCA exemptions remain broadly intact and incorporates an average U.S. tariff rate on Canadian goods of approximately 5%. Section 338 weakens both assumptions at the margin.

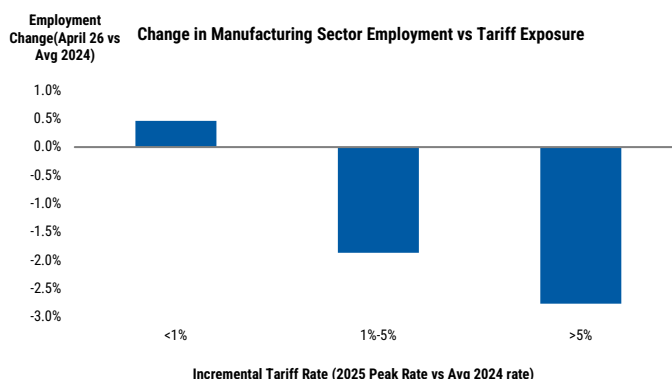
The announced tariffs may not be large enough on their own to overturn the Bank's forecast. The stronger 2027–28 growth profile, however, is conditional on the export recovery being sustained. The Monetary Policy Report explicitly identifies a weaker export rebound as a downside risk: lower foreign demand would reduce firms' incentive to invest and hire, weakening income and consumption and adding to downward pressure on inflation.

The relevant risk is therefore not limited to a mechanical reduction in net exports. It is that weaker exports interrupt the wider transmission from external demand to investment, employment and domestic spending.

Effect on the labor market is likely to be weaker hiring. Our sector-level analysis suggests that this transmission may already be visible in manufacturing employment. Manufacturing sectors facing less than 1% in incremental tariff exposure have recorded modest employment growth relative to their 2024 average. Employment is down by approximately 2% in sectors facing tariff exposure of 1% to 5%, and by roughly 2½% to 3% in sectors facing exposure above 5%. The relationship does not establish causality by itself. Sector-specific demand, commodity cycles and structural changes also affect employment. The gradient is nevertheless consistent with tariff pressure weighing more heavily on hiring and employment in the most exposed industries.

Exhibit 3: Sectors facing higher tariffs have seen worse employment outcomes...

Source: StatCan, USITC, Morgan Stanley Research

Exhibit 4: ...where sectors facing 5% or higher tariffs have seen up to 3% job losses

Source: StatCan, USITC, Morgan Stanley Research

This matters because the current labor-market adjustment is occurring mainly through weak hiring rather than widespread layoffs. Unemployment stood at 6.5% in June 2026 and has remained between approximately 6.5% and 7% since late 2024. Firms are generally retaining existing workers, but remain reluctant to add staff, while wage growth is close to 3%. Section 338 broadens that risk beyond autos, metals and heavy manufacturing. It brings paper and packaging, plastics, furniture, food processing, electrical equipment, machinery and other consumer-goods industries more directly into the tariff shock.

The employment effects are therefore likely to appear first through weaker hiring and a slower absorption of labor-market slack. Should exports fail to recover as projected, the Bank's expected sequence, from stronger exports, to higher investment, to firmer hiring would be interrupted.

If the 338 tariffs are upheld, they would provide a downside risk to economic growth, and could disrupt the BoC's view on the underlying economic momentum. This could lead to a more dovish policy rate outlook in the near term.

The real tail risk is a two-tier USMCA

The most adverse plausible outcome is not necessarily the formal collapse of USMCA. A more damaging scenario would be for the agreement to remain legally intact while effective access to the U.S. market becomes increasingly bilateral and discretionary.

Under that model, USMCA compliance would remain necessary, but would no longer be sufficient to guarantee preferential access. Exemptions, sector-specific tariffs and bilateral negotiations could leave Mexico with materially better effective treatment than Canada. Mexico is better positioned in such a regime. It has lower production costs, denser manufacturing ecosystems and greater participation in autos, electronics and other technology-linked supply chains. Should Mexico also retain a persistent tariff advantage, marginal sourcing and investment decisions would increasingly favor Mexico over Canada.

That would be particularly challenging. [As we have noted previously](#), Canada's manufacturing model has historically relied on stable and preferential access to the U.S. market. Canada lacks the domestic scale of the United States and the cost structure and

production density of Mexico. Its relative advantage has therefore depended heavily on policy-supported integration and confidence in the durability of continental market access.

A lasting tariff wedge in Mexico's favor would do more than reduce current Canadian exports. It would gradually redirect supplier relationships, plant mandates, capital expenditure and productive capacity away from Canada. The effects would accumulate over time. New production lines could be assigned to Mexico. Existing suppliers could lose renewal contracts. Investment that might otherwise have expanded Canadian plants could be directed elsewhere. Canada could become increasingly concentrated in energy, minerals and other upstream sectors while losing relevance in the manufacturing industries driving North American trade growth.

The central strategic issue is therefore not the immediate value of trade affected by Section 338. It is whether the measure becomes a precedent for a version of USMCA in which access depends increasingly on bilateral political bargaining rather than common rules. As our policy strategist notes below, Section 338 tariffs appear more legally durable than tariff measures based on emergency authorities. Legal durability does not, however, imply permanence. The President retains the authority to suspend, amend or revoke the tariffs.

There is also substantial room for negotiation. The breadth of the basket, its visible consumer-goods exposure and Canada's high market share in selected products create pressure points on both sides of the border. Consumer-facing products, alcohol and goods that produce noticeable price increases for U.S. purchasers may be particularly strong candidates for exemptions or modifications. The immediate outcome may therefore be continued product-specific bargaining, potentially producing additional exemptions or modifications within an already differentiated tariff regime.

US Public Policy: Finding a Framework

Ariana Salvatore

The context: The Section 122 tariffs that the President used to replace the IEEPA levies were only a temporary authority (150 days), as we noted at the time [here](#), which necessitates the replacement of those tariffs with a host of others after July 24 (this Friday). It's been our expectation that the administration would seek to maintain a regime as close to the existing one as possible, via an amalgamation of Sec. 301 and 232 tariffs. In the aggregate, that means the effective tariff rate likely stays around 8-9%, but with potential 'air pockets' as some Section 301 investigations will be challenging to maintain on certain countries (in particular those that are market economies/difficult to accuse of forced labor). The Section 338 tariffs are an addition to that regime, but importantly, an untested authority reliant on findings of discrimination by the ITC. While the administration said that the tariffs will not stack with other Sec. 232 tariffs (like on autos), key uncertainties remain, in particular when it comes to the scope of the ITC's role, the legality of tariff imposition outside of the USMCA framework, and whether or not these tariffs (which can be up to 50%) will be applied to other trading partners as well as the shift occurs.

Exhibit 5: Alternate tariff authorities

Authority	Level	Risks	Procedure	Lag to Implement	Rough Total Lag (Preclusion to Implementation)	Duration	Comment & Past Usages
Section 122	Up to 15%	Large balance of payments deficit that could threaten the dollar's stability	President can impose, no investigation required	None	None	Up to 150 days, must be approved by Congress after that point	• Untested authority (highlighted as a clearer tariff authority by lower courts.)
Section 338	Up to 50%	Trading partners to be discriminating against US exports	Contingent upon a finding from ITC, no set timeframe but roughly several months	30 days following a finding from the ITC	Several months	Indefinite	• Untested authority (highlighted as a clearer tariff authority by lower courts.)
Section 301	Equivalent in value to harm, no clear limit	Foreign nation has unfair trade practices	USTR investigation, up to 12 months	Up to 30 days following USTR finding	12-13 months	4 years after which it comes up for review by USTR, can be rolled forward	• Product-specific tariffs covering ~60% of Chinese exports from Trump's first term
Section 232	Usually around 25% but 50% no clear limit	Excessive imports of a certain good pose a national security threat	Commerce Secretary investigation, up to 270 days	Up to 90 days following Commerce finding, and then 15 days to implement action	~375 days	Indefinite	• Steel, aluminum, autos, dropper • Upcoming tariffs on corn, pharma, lumber, etc.
Section 201	No clear limit	A specific import causes injury to domestic industry	ITC investigates, up to 120 days but extendable to 150 for complex cases	Up to 60 days after ITC finding, if injury found ITC has another 60 days to submit its remedy report (but can be faster)	~6-9 months	Up to 4 years, extendable to 8 years total with ITC midterm review (not Congress)	• Applied to washing machines & solar cells in Trump's first term

Source: Morgan Stanley Research

What's the upshot? The Section 338 tariffs, in our view, can't be separated from the political backdrop surrounding the announcement: particularly, the USMCA negotiations that are progressing much more rapidly with Mexico than with Canada (USTR Greer is [meeting](#) with his counterparts in Mexico this week for the third series of bilateral talks). Comparatively, the US-Canada delegates have not begun formal negotiations yet, in spite of the fact that Canada has taken some gestures of goodwill ahead of the review (like moving away from its [digital services tax](#) or appointing a [fentanyl czar](#)). Hence, given the limited economic impact of these tariffs (~\$20b as our economists describe above), we think this fits into the playbook for USMCA negotiations that we outlined earlier this year, as we pivoted [toward our bear case](#) for the talks: more escalation as the negotiations progress & the deadline is punted until next July (unless an agreement is again not reached, in which case we shift to annual reviews). The 30-day lag underscores the negotiation point as well, as USTR Greer's comments this morning suggest that the US is open to dialogue with Canada with the intent of securing certain policy outcomes in exchange for tariff concessions. For a reminder of the key asks of the US/Mexico/Canada in the talks, see [here](#):

Exhibit 6: Original USMCA scenarios - note we have **shifted** since toward our bear case

More Free Trade Integration	Scenario 2 - Deepening Integration	Scenario 1 - USMCA + Some Improvements (Base Case)	Less Free Trade Integration
Overview	- US & Mexico formalize alignment on China policy - Modernizations & expansions on topics like AI, labor - Fentanyl-linked BEPA tariffs walked back gives substantial tangible progress - More robust institutional framework than Scenario 1	- Narrower review, addresses some of the outstanding issues (auto rules of origin, updates on digital trade/AI) but without adding substantial chapters - Modest side agreements that are improvements to existing structure, still requiring Congressional approval	- Mexico either unable to meet US requests on China investment or unwilling to legislate them in the first - Other side issues derail the broader review, leading all parties to maintain status quo - The whole deal remains intact, but review is limited as side from just kicking the can down the road, outstanding disputes not resolved - BEPA tariffs remain in place
Timing	June/July 2026 plus a few months for approval	June/July 2026, if not earlier	Beyond 2H26
Base Case	2H26+	1Q26	1Q26
Trade Issues	Slight downside to existing effective tariff rate as tariffs on non-USMCA compliant goods brought down from current levels	Keeping USMCA exemption means overall effective tariff rate stays around USD as other tariff levels broadly kept in place	Upside risk to effective tariff rate as non-USMCA compliant goods are tariffed at a higher rate or fewer exemptions are granted
Effective Tariff Rate	Maintained with further carve-outs, 50% drops to 25%	Maintained, some possible carve-outs for leverage in other key issue areas; potential TRQ system replaces blanket tariff	Maintained, or step up with limited exemptions
Section 232 (Steel and Aluminum) Tariffs	Maintained	Maintained	Maintained
USMCA Exemption on Tariffs	Maintained	Maintained	Maintained
Other Key Issues	- Non-US content of Mexican-made vehicles is not subject to tariff - ROO US does not enforce stricter ROO than agreed to in original USMCA; content requirements relaxed - Coordination on supply chains for EVs/batteries	- Non-US content of Mexican-made vehicles is not subject to tariff - ROO US does not enforce stricter ROO than agreed to in original USMCA; potential exemptions - Flexibility in RBC calculations (e.g., roll-up provisions for core parts) may be formalized	- Non-US content of Mexican-made vehicles continues to be subject to tariff - ROO US enforces stricter ROO than agreed to in original USMCA
Auto	- Framework on digital trade incorporating AI, focusing on cross border data flow & prohibiting data localization - Updated framework on AI governance, cybersecurity, privacy	Digital trade chapter modernized, but no inclusion of AI	Adding chapter on digital trade/AI proves difficult as Canada hesitant to abandon DDT even though efforts toward repeal started this year
Digital Trade	- RRM framework adjusted, broadened to facilitate usage against US/Canadian facilities - Stronger enforcement remediation	Narrow updates to data transfer provisions, no broader regulatory framework set	Compliance and enforcement remain a challenge
Labor	- Reform to align panel procedures & reinforcement - Expansion of usage of early consultation mechanisms and mediation	RRM framework improved to provide better disclosure/ transparency	No change to existing language
Dispute Resolution (Chapter 11)	Narrow changes to expedite panel formation	Modest procedural improvements but limited scope expansion	No change to existing language
China Coordination	Indirect	Somewhat enforced	Not enforced
Existing Tariffs	- Explicitly addressed in the agreement via formation of a regional strategic trade stance - Mexico takes credible steps to follow through on commitments to restrict or monitor trade investment - Anti-subsidy measures implemented - Potential investment screening regime; common standards (CFRIs) or monitoring across all three parties	- Addressed but without enforcement mechanisms; deeper monitoring in place (i.e. Mexican government imposes trade barriers but allows exemptions or does not enforce heavily) - Cooperative customs to deter transshipment but coordination more ad hoc than institutionalized - Canada/Mexico progress toward screening mechanisms, but no trilateral coordination	- Point of fiction in the negotiations, ultimately not addressed or excluded from talks - No formal coordination, either on tariffs or investment screening - Loosen regulatory oversight/enforcement
Broader Framework			

Source: Morgan Stanley Research

G10 FX Strategy: A New Development but Not a Game-Changer for USD/CAD

Molly Nickolin, Andrew Watrous

The US announced an additional 50% tariff on a broad set of Canadian goods, effective August 19. **The headline appears negative, but the details are less concerning for CAD, in our view.**

We think the near-term impact will come through confidence and positioning rather than a fundamental deterioration in Canada's external balance. The announcement adds uncertainty just as business and consumer sentiment had begun to recover. **There may be initial upward pressure on USD/CAD, but we think this should be faded, as the traditional CAD drivers matter more:**

- The Canada-US rate differential will determine whether the tariff shock produces a material change in expected BoC policy.
- Oil and Canada's terms of trade remain important as energy is exempt.
- The broad USD and global risk environment may matter more than the direct value of the newly-tariffed exports.
- Relative growth will matter if confidence weakness begins to translate into hiring, capex, or consumption.

The sectors underpinning Canada's improving investment outlook—energy production, power infrastructure, utilities, and critical-mineral supply chains—are largely outside the new tariff action. The AI-related manufacturing channel is somewhat more mixed, as certain electrical and manufactured products appear in the tariff annexes.

Three developments stand out:

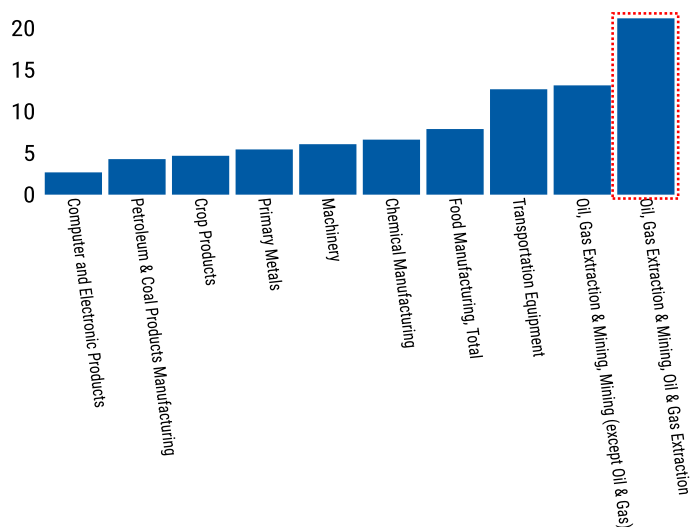
- The incremental exposure is less CAD relevant than the headline
- Confidence should weaken before activity does
- The 30-day delay reinforces the likelihood of negotiation

The incremental exposure is less CAD relevant than the headline. The tariff rate is large, but the most important question for CAD is what it applies to.

Energy products are explicitly exempt from the new measure, as are potash and critical minerals. Autos and several metals sectors are also carved out of this particular action because they are already covered by separate Section 232 measures. **The incremental tariffs are less concentrated in the commodity exports that generate Canada's largest trade surpluses and tend to matter most directly for CAD.**

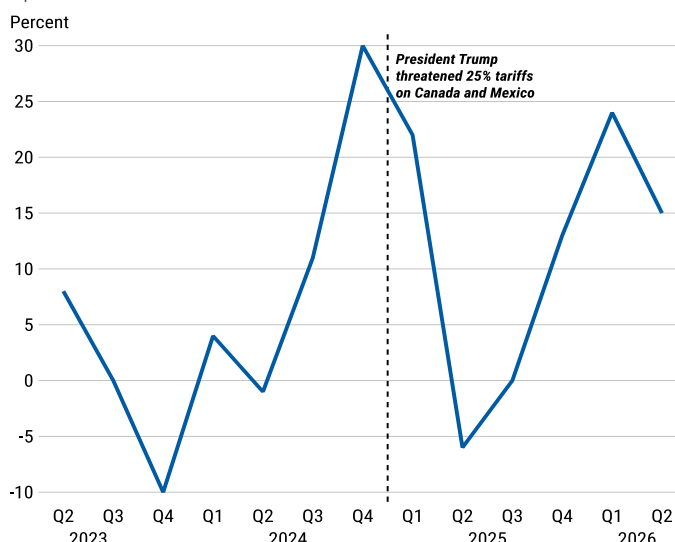
The composition matters more for FX than the gross value of the affected goods. Energy exports generate persistent foreign-currency receipts, while stronger oil and gas investment supports domestic capex and income over a longer horizon. **By exempting energy and critical minerals, the new tariffs leave much of that channel intact (Exhibit 8).**

Exhibit 7: Canada's primary exports are not heavily impacted
Top 10 Canadian exports (as % of total exports)



Source: Macrobond, Morgan Stanley Research

Exhibit 8: BoC BOS, indicators of future sales, balance of opinion



Source: BoC Business Outlook Survey, Morgan Stanley Research

Confidence would weaken before activity does. Canadian firms spent the past two years adapting to repeated US tariff announcements, exemptions, and sector-specific trade measures. That experience should limit the operational disruption relative to the first tariff shock (Exhibit 8).

Still, renewed uncertainty could delay some hiring and investment decisions and weigh on consumer confidence. This is particularly relevant because sentiment had only recently begun to improve. A fresh tariff escalation could interrupt that improvement even without producing a decline in realized activity.

Earlier this year, tariff uncertainty affected confidence before the hard data. If the 338s were to go into effect, sentiment may weaken, but the impact on production and exports and therefore USD/CAD should be limited.

The 30-day delay reinforces the likelihood of negotiation. The tariffs do not take effect immediately. The proclamations provide a 30-day window before implementation, and Section 338s gives the President latitude to suspend, amend, or revoke the measures.

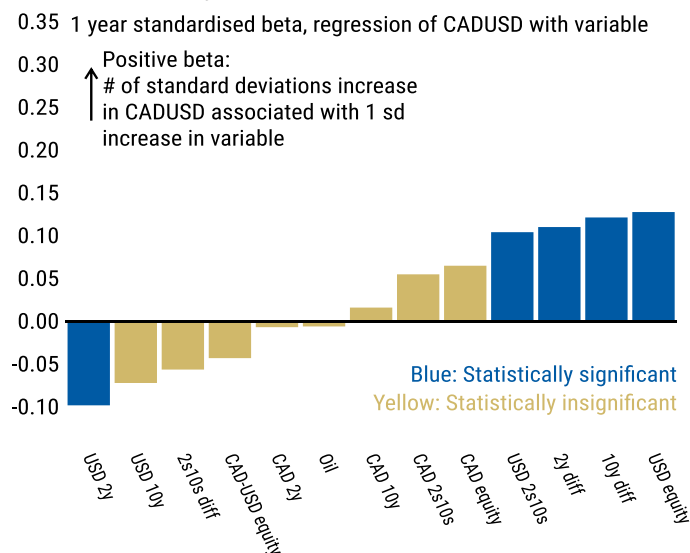
Our policy team [highlights](#) that the 30-day lag underscores the negotiation point as well, as USTR Greer's comments this morning suggest the US is open to dialogue with Canada with the intent of securing certain policy outcomes in exchange for tariff concessions. For a reminder of the key asks of the US/Mexico/Canada in the talks, see [here](#).

The investment story is largely intact, but not entirely insulated. The investment areas highlighted in our earlier recent [BoC reaction](#) were energy capex and the Canadian component of the North American AI and data-center buildout.

The proposed buildout of generation, transmission, and utility infrastructure should therefore remain broadly intact. The AI-related export channel could be marginally impacted. Critical minerals are exempt, and metals already subject to Section 232 do not face the new incremental 50% duty. However, the annexes include some electrical machinery, motors, generators, batteries, communications equipment, and other manufactured products.

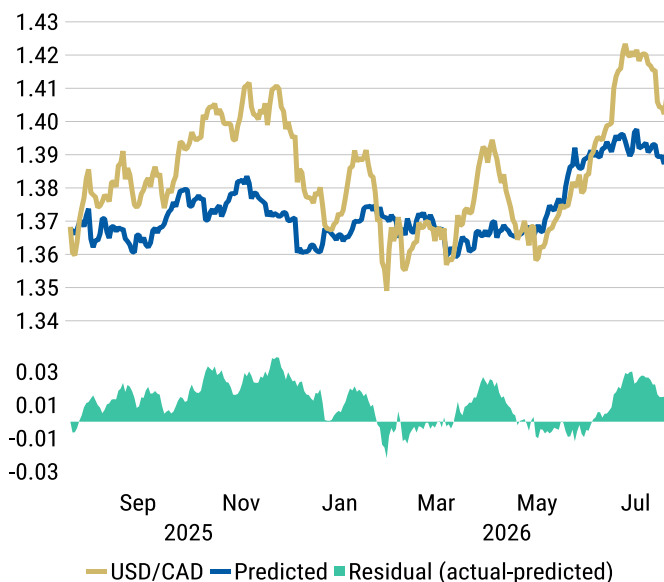
What this means for CAD. The initial CAD response could be driven by risk premium rather than a significant revision to trade flows. Higher uncertainty can weaken CAD through softer sentiment, greater demand for USD liquidity, and increased expectations of a more cautious Bank of Canada. **That said, we don't think this move should be chased should it materialize (Exhibit 9).**

Exhibit 9: USD/CAD remains sensitive to risk, 10y rate differentials, and 2y differentials



Source: Bloomberg, Morgan Stanley Research

Exhibit 10: 10y rate differentials, 2y differentials, oil, and risk value CAD closer to 1.39



Source: Bloomberg, Morgan Stanley Research

A near-term rise in USD/CAD would not necessarily signal a lasting deterioration in Canadian fundamentals. Unless the dispute expands into energy, critical minerals, or domestic investment, we would expect much of the Canada-specific tariff premium to fade as negotiations progress and the data show limited spillover into activity ([Exhibit 10](#)).

Bottom line

The 50% headline will attract attention. We think investors should focus on the composition and transmission mechanism:

- The incremental measure largely excludes energy and other strategically important commodity exports.
- The 30-day implementation window creates room for negotiation.
- Canadian firms are better prepared for tariff uncertainty than they were at the start of the trade conflict.
- Confidence could weaken in the near term, but the energy and domestic infrastructure investment outlook remains broadly intact.
- Some AI-related manufactured exports are exposed, making this a modest headwind rather than a complete non-event.

Investors may be concerned by 338s, but without an escalation into energy or a sustained deterioration in investment and growth, we do not think these tariffs materially change the currency outlook. As confidence stabilizes and CAD's underlying drivers reassert themselves, USD/CAD should be able to decline.

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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